



Entrepreneurship Skills

Topic 1: Introduction to Entrepreneurship



1



Objectives

- At the end of class, you should be able to:
 - Justify Entrepreneurship Skills as a unit
 - Explain the historical development of Entrepreneurship
 - Examine Carol's Moore Model of Entrepreneurial Behavior.
 - Explain the entrepreneurship Process
 - Debrief of VR activity – The New Hustle

What can you do with Entrepreneurship Skills



What is a skill?

Skill (Noun)

- 1: ability that comes from training or practice
- 2: a developed or acquired ability : accomplishment

“As educators, we have the responsibility to develop our students’ discovery, reasoning, and implementation skills so they may excel in highly uncertain environments. – Neck and Greene (2011, p. 55)”

Pkanyua

Entrepreneurship and Innovation

3

3

What can you do with Entrepreneurship Skills



Pkanyua

Entrepreneurship and Innovation

4

4

What can you do with Entrepreneurship Skills



Start a business
 Buy a business
 Become an investor
 Become a business consultant
 Coach
 Intrapreneur
 Operations manager
 Sales manager (Business Development)
 Fundraiser
 Hold good conversations on the state of the economy 😊
 Educator/Researcher

Pkanyua

Entrepreneurship and Innovation

5

5

Who is an entrepreneur? What is entrepreneurship



We do not have a universal definition of an entrepreneur and entrepreneurship.

The definitions have evolved with the history of entrepreneurship.

Ancient times – Trade and exchange



Mesopotamia – rise of merchants and explorers and the entrepreneur was the “go-between” bearing all physical and emotional risk and if successful getting a commission.



Middle Ages – Marco Polo's international trade ...and also the beginning of transatlantic slave trade that lasted up to the 19th century. Here Entrepreneurs are managers of large production projects (most resources were owned by the kingdom anyway and the best you could do was manage it)

Pkanyua

Entrepreneurship and Innovation

6

6

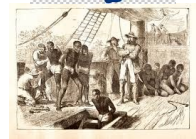
Who is an entrepreneur? What is entrepreneurship



17th Century – The connection of risk with entrepreneurship is developed. An entrepreneur is someone who enters into a contract with government to perform a service or supply stipulated products. In the 17th Century Richard Cantillon viewed the entrepreneur as a risk taker, observing that merchants, farmers, craftsmen, and others sole proprietors “buy at a certain price and sell at an uncertain price, therefore operating at a risk.” First writer to narrow the meaning of the term.



18th Century – Industrialization age with a distinction developing between the owner of capital and the one who needs capital. The entrepreneur is seen as an **inventor**. At this point property laws have evolved and its is not the states that own everything. (against this backdrop is slave trade and colonization and abolition of slavery)



Pkanyua

Entrepreneurship and Innovation

7

7

Who is an entrepreneur? What is entrepreneurship



19th & 20th Centuries- In the late 19th and early 20th centuries, entrepreneurs were frequently not distinguished from managers and were viewed mostly from an economic perspective. Entrepreneurs organize and manage resources for personal gain. (Countries are gaining independence, world war I&II)



Middle of 20th Century - The function of the entrepreneurs is to recreate or revolutionize the pattern of production by introducing an invention. Joseph Schumpeter defined entrepreneurship as the introduction of new combinations of resources, technologies, and organizational methods that create value, emphasizing **innovation** and the disruptive force of entrepreneurs in driving economic progress through "creative destruction".



21st Century – Welcome to the digital age.

Pkanyua

Entrepreneurship and Innovation

8

8

In the African Context.....



How has the term entrepreneurship evolved?

What are some historical factors that influence how we define entrepreneurship?

What challenges were faced by African entrepreneurs historically?

Pkanyua

Entrepreneurship and Innovation

9

9

Who is an entrepreneur? What is entrepreneurship



“An entrepreneur can be described as “one who creates a new business in the face of risk and uncertainty for the purpose of achieving profit and growth by identifying significant opportunities and assembling the necessary resources to capitalize on them” (Zimmerer & Scarborough, 2008, p. 5).”

Entrepreneurship “is the process of pursuing opportunities without limitation by resources currently in hand” (Brooks, 2009, p. 3) and “the process of doing something new and something different for the purpose of creating wealth for the individual and adding value to society” (Kao, 1993, p. 70)

An entrepreneur is “one who organizes, manages, and assumes the risks of a business or enterprise” (Entrepreneur, n.d.).

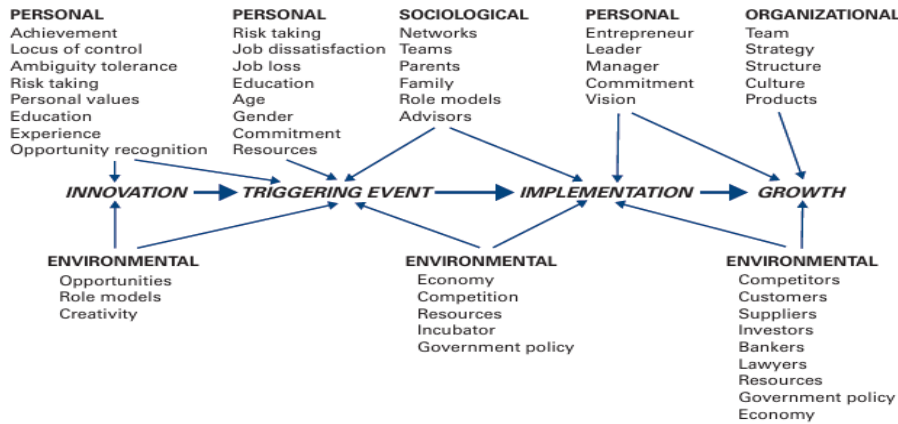
Pkanyua

Entrepreneurship and Innovation

10

10

Carol Moore's Model of Entrepreneurial Behavior



The model highlights how **personal, environmental, and behavioral** factors interact to influence entrepreneurial actions.

Source: Based on Carol Moore's Model.³

Carol Moore's Model of Entrepreneurial Behavior



1. **Background Factors.** These are the personal characteristics and life experiences that shape an individual's outlook and readiness for entrepreneurship. They include; Family background, Education level, Work experience, Role models, and mentors.

These factors shape the individual's perception of opportunities and confidence in taking entrepreneurial actions.

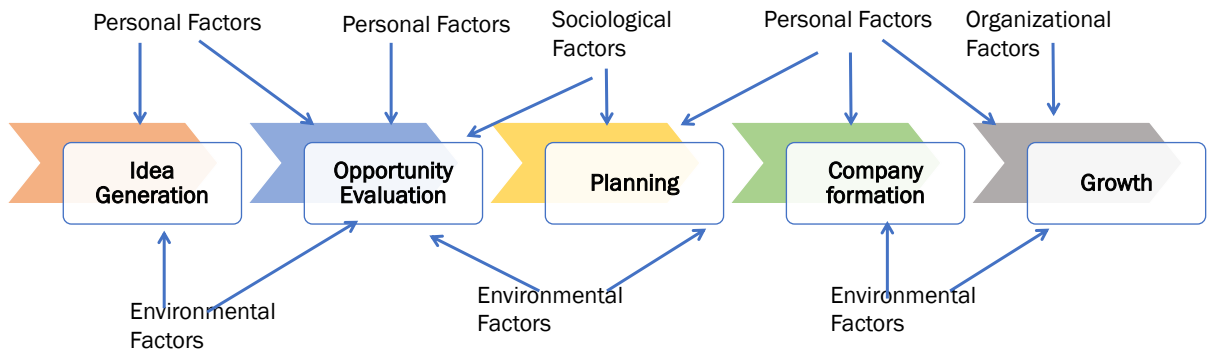
2. **Personality Traits**-Moore identifies specific traits commonly associated with entrepreneurs; Need for achievement, Locus of control (believing one controls their own destiny), Risk-taking propensity, Tolerance for ambiguity, Creativity and innovativeness.

These traits influence the individual's motivation and decision-making in uncertain business environments.

3. **Environmental Factors**-External influences that either facilitate or constrain entrepreneurship; Economic conditions, Access to capital and resources, Government policies and support, Cultural attitudes towards entrepreneurship, Networks and social support.

These shape the opportunity landscape and the feasibility of entrepreneurial action.

The Entrepreneurial Process



The Entrepreneurial Process



It is useful to break the entrepreneurial process into five phases: idea generation, opportunity evaluation, planning, company formation/launch and growth. Although it is natural to think of the early steps as occurring sequentially, they are proceeding in parallel. Even as you begin your evaluation, you are forming at least a hypothesis of a business strategy.

1. Idea Generation: every new venture begins with an idea. In our context, we take an idea to be a description of a need or problem of some constituency coupled with a concept of a possible solution.
2. Opportunity Evaluation: this is the step where you ask the question of whether there is an opportunity worth investing in. Investment is principally capital, whether from individuals in the company or from outside investors, and the time and energy of a set of people. But you should also consider other assets such as intellectual property, personal relationships, physical property, etc.

The Entrepreneurial Process



3. Planning: Once you have decided that an opportunity, you need a plan for how to capitalize on that opportunity. A plan begins as a fairly simple set of ideas and then becomes more complex as the business takes shape. In the planning phase you will need to create two things: strategy and operating plan.
4. Company formation/launch: Once there is a sufficiently compelling opportunity and a plan, the entrepreneurial team will go through the process of choosing the right form of corporate entity and actually creating the venture as a legal entity.
5. Growth: After launch, the company works toward creating its product or service, generating revenue and moving toward sustainable performance. The emphasis shifts from planning to execution. At this point, you continue to ask questions but spend more of your time carrying out your plans.

Review of Activity VR 1: New Hustle –

<https://www.youtube.com/watch?v=SNoNlhcUS8>



- The three businesses depicted in the film, are referred to as "startups", what is the definition of a startup and how does it differ from the definition of a small business.
- Giving examples from the video, what are some characteristics associated with being able to start and build a business?
- What was the problem each business was solving?
- Giving examples from the video, explain how the businesses evolved over time. What drove the changes in their business?
- What are some challenges faced by entrepreneurs? How did they overcome the challenges?
- What were some risks faced by the entrepreneurs?
- What are some things the entrepreneurs did well that would have contributed to their success?
- Do you think the family background (upbringing) of the entrepreneurs contributed to their desire to create businesses? Explain your answer.
- What stood out for you from the film?